

# World's Greatest Stock Trader®?

**I**MAGINE THE FOLLOWING: You, the investor, believe you have an uncanny skill at picking stocks. You set up an online trading account and begin to buy and sell.

As it turns out, you are quite good. In fact, you're the world's greatest.

You pour more money into your brokerage account and up your trading volume. After the first year, you look at your results: You have trounced the indexes. You snicker at your friends who invest passively in low-cost, low-turnover indexes.

You keep at it, year after year trouncing the S&P 500. Over the long haul, you beat that benchmark substantially—in some years, you gain 30, 40, even 50% more than the S&P 500. You track your returns in a spreadsheet to see just how well you have done.

Over 24 years, you tally up gains and losses. The markets are up, on average, about 9% annually. You, the World's Greatest Trader®, do much better, averaging over 12%. That's better than most hedge funds over that stretch, and better than most average mom-and-pop investors.

How did you do vs. your friends who put their money into broad low-cost indexes?

*About the same.*

Wait, how on earth is that possible? You trounced the indexes, you crushed the benchmarks, you are the greatest! How could this possibly happen?

In a word, taxes. Depending upon the length of your holding, your tax bracket, and which state you live in, the government could end up capturing a lot of your gains. The long-term federal tax rate on capital gains is 24%; short-term rates are 30%. And then add in state taxes of as much as 13%, and then city taxes—the government may end up taking almost half of your winnings.